

Analysis Report_TASK 2

Customer Retention & Churn Analysis Report

Project Overview

This project analyzes customer retention and churn patterns using the Telco Customer Churn dataset. The objective is to identify factors influencing customer churn and provide business recommendations to improve customer retention.

Tools Used

- Python (Pandas)
- Tableau Public
- Microsoft Excel
- GitHub

Dataset

Dataset: Telco Customer Churn Dataset (Kaggle)

Total Customers Analyzed: **7,032**

Key KPIs

KPI	Value
Total Customers	7,032
Churn Rate	26.58%
Retention Rate	73.42%
Average Customer Tenure	32.42 Months

Key Findings

1. Contract Type

Customers on **month-to-month contracts** experienced the highest churn.

Customers with one-year and two-year contracts demonstrated significantly stronger retention.

2. Customer Tenure

Customers who churned generally had much shorter tenures than retained customers.

Most churn occurred during the early stages of the customer lifecycle.

3. Payment Method

Customers using **electronic checks** showed the highest churn.

Customers using automatic payment methods (bank transfer and credit card) had much lower churn.

4. Monthly Charges

Customers paying higher monthly charges were more likely to churn.

Higher pricing may contribute to customer dissatisfaction or lower perceived value.

Recommendations

- Encourage customers to switch from month-to-month contracts to long-term plans.
- Improve onboarding and engagement during the first year of subscription.
- Promote automatic payment methods through incentives.
- Review pricing strategies for higher-priced plans.
- Implement targeted retention campaigns for high-risk customer segments.